A Work Project, presented as part of the requirements for the Award of a Master Degree in Finance from the NOVA – School of Business and Economics.

CFA Equity Research – CTT Correios de Portugal S.A.

Smart Lockers in a New E-commerce Era
CTT's Expansion in the Spanish Market Through Strategic M&A

Tomás Albuquerque Meleiro

A Project carried out on the Master's in Finance Program, under the supervision of:

Gonçalo Sommer Ribeiro

Lisbon, 17th of December 2024

Abstract

On October 31st, 2024, CTT was trading at €4.28. Performing a sum of parts valuation of the Ex-Bank and Bank units, through three different approaches (DCF and FTE; Comparable Companies Analysis; Monte Carlo), the analysis yields a final estimated stock price of €4.93, representing an upside of 15%, mainly driven by its E&P unit. This paper then analyzes CTT's current smart locker network (Locky). The possibility of expanding this network in Spain through strategic M&A is studied, both strategically and financially.

Keywords:

Equity Research

Valuation

CTT Correios de Portugal

Smart Lockers

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Table of Contents

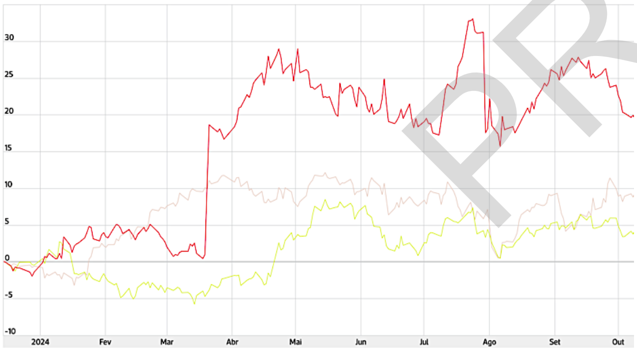
CTT – Correios de Portugal S.A.

Ticker: CTT.LS

Recommendation	BUY
Date	31.10.2024
Current Price	€4.28
Target Price	€4.93
Upside	15%
Sectors	Logistics and Financial Services
Industries	Mail, Parcels, Financial Services and Banking
Stock Exchange	Euronext Lisbon

CTT's Share Price growth Evolution

Comparison with PSI and Eurostoxx50



CTT Correios de Portugal (LIS) PSI Eurostoxx 50

Source: CTT

INVESTMENT SUMMARY

CTT's valuation presented in this paper results in a **BUY** recommendation. The estimated target price is €4.93, a 15% upside, considering October 31st's €4.28 closing price.

The recommendation rests on three main value drivers:

Unlocking Growth in the E&P unit: Thriving the E-Commerce Era

E&P unit is a key driver of growth, benefiting from the rapid expansion of e-commerce and CTT's strategic focus on the Iberian market. Unified logistics offerings and innovations like smart lockers enhance delivery efficiency and customer convenience, strengthening its competitive positioning. By leveraging market trends and an extensive infrastructure, CTT is well-placed to capture rising demand, further solidifying E&P segment as a critical growth driver.

Banco CTT: From Competitive Advantages to Strong Margins

Banco CTT's strong brand recognition and nationwide retail network provide a unique competitive edge in the banking industry. Its cost-efficient operations and focused product offerings, such as auto and mortgage loans, drive profitability and scalability. By integrating digital tools with physical services, Banco CTT continues to deepen customer engagement, ensuring margin expansion.

Mail Revenues Resilience: Navigating a Challenging Environment

Mail remains a vital part of CTT's revenue base, even as the segment faces declining volumes and profitability pressures. Through strategic pricing adjustments and an optimized product mix, CTT has mitigated losses and limited the financial impact of these challenges. The company's ability to uphold service quality while aligning prices with rising costs has been instrumental in ensuring that Mail remain a key component of CTT's operation.

(€ millions)	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenues per Unit											
Mail	*478*	*426*	*444*	*480*	*454*	463	453	451	447	444	441
E&P	*152*	*193*	*256*	*259*	*341*	448	454	494	538	586	639
FS	*47*	*44*	*49*	*61*	*63*	43	47	47	46	46	45
Banking	*87*	*88*	*87*	*107*	*128*	130	133	139	144	148	151
Recurring EBIT per Unit											
Mail	*57*	*16*	*18*	*11*	*3*	5	4	3	0	-1	-3
E&P	*-10*	*0*	*12*	*9*	*20*	31	30	35	37	41	44
FS	*22*	*21*	*22*	*31*	*36*	21	22	22	21	21	20
Banking	*-4*	*5*	*8*	*10*	*21*	22	23	25	26	28	29
Group Net Income	29	17	39	32	54	40	40	42	39	44	46

Source: CTT | Group Analysis

Company	Brief Business Description	Logo
Banco CTT	A bank launched in 2016, providing retail banking services.	bancoctt
Dott	Portugal's first fully digital marketplace.	dott
CTT Express	A courier company headquartered in Spain, focusing on urgent mail and parcel transport.	ctt Express
Payshop	A payment network for utility and service bill payments.	payshop
Locky	A locker network enabling convenient parcel deliveries.	Locky
Newspring	A consultancy and process management company specializing in back / front-office, and contact center operations.	NEWSPRING SERVICES
CTT Expresso	A logistics and postal services provider focused on express mail and merchandise delivery.	ctt
CTT Contacto	A company dedicated to distributing advertising mail.	ctt

Figure 1: Companies from Group CTT

Source: CTT

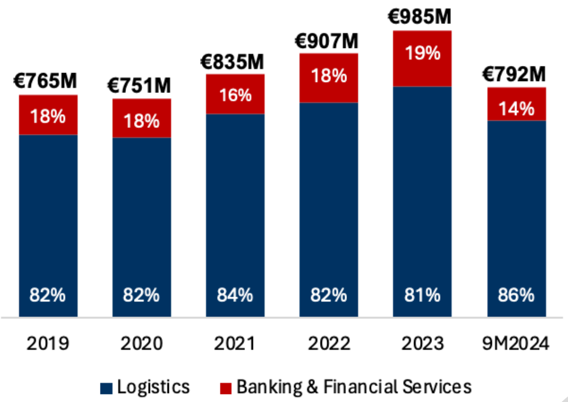


Figure 2: CTT's Revenues Evolution (€ Millions), segmented into Logistics and Banking & FS

Source: CTT

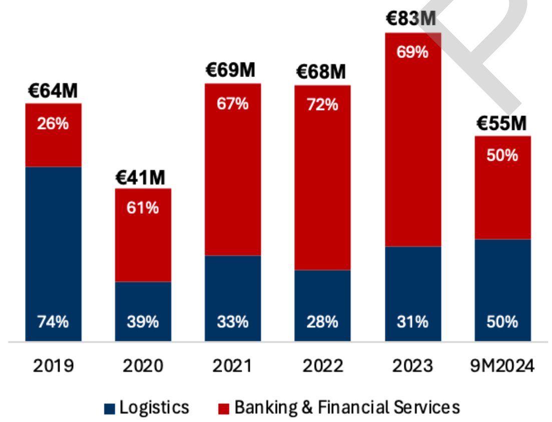


Figure 3: CTT's Recurring EBIT Evolution (€ Millions), segmented into Logistics and Banking & FS

Source: CTT

1. CTT Group Business Description

The CTT brand was originated in 1520 with the establishment of Portugal's public postal service, created to support the country's political, military, and commercial activities. Over the past five centuries, the brand has continuously adapted to societal needs and advancements in technology. After becoming a state-owned enterprise in 1969, the Portuguese-based company was fully privatized in 2014 through an IPO on the Euronext Lisbon market. With four main shareholders and 1.43% of its own stock, CTT now operates as a diversified group, managing several companies that extend its activities beyond traditional postal services.[1]

Due to the declining demand for traditional postal services, CTT diversified its operations into two main segments, each comprising two sub-segments: Logistics, which includes Mail and Express & Parcels (E&P), and Bank & Financial Services, which encompasses Bank and Financial Services (FS). The Logistics segment consistently represents the largest share of CTT's revenues, accounting for 85.7% of a total €792.27M in revenues in 9M2024[2]. This dominance is primarily driven by the remarkable growth of the E&P segment and by the Mail business unit, which continues to hold the highest share of CTT's revenue among all sub-segments despite its ongoing decline. Within the Bank & Financial Services segment, which accounted for 14.3% of CTT's total revenues in 9M2024, the Bank's revenues have consistently surpassed those of the FS unit. While the Bank's revenues have shown consistent growth, FS has experienced a decline.

Regarding CTT's recurring EBIT, the Logistics segment's contribution has declined significantly, accounting for 49.3% of a total €54.6M in recurring EBIT in 9M2024, compared to 78.5% of €50.2M in 9M2019. While E&P's recurring EBIT has shown strong growth, the sharp decline in Mail's recurring EBIT dictates the overall downward trend. On the other hand, Bank & Financial Services segment's contribution to CTT's recurring EBIT has risen significantly, reaching 50.7% in 9M2024 compared to 21.5% in 9M2019. This increase is primarily driven by the Bank business unit's strong upward trajectory, in contrast to the declining performance of the FS unit.

CTT's purpose is to "deliver the future by connecting people and businesses in a sustainable way". The group's mission focuses on continuous innovation, offering high-quality logistics solutions and support services tailored to

[1] (CTT, The CTT Brand 2024)
[2] (CTT, "Integrated Report 2019 - 2023)

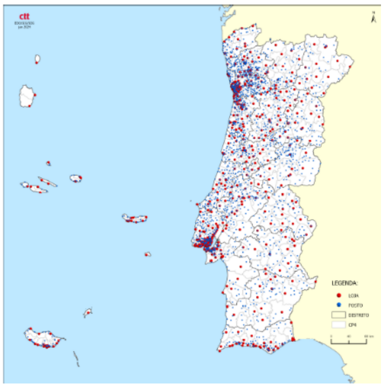


Figure 4: CTT's Network

Source: CTT

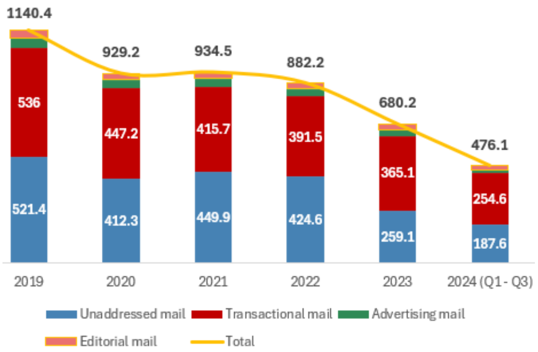


Figure 5: Mail's Historical Volume Handled by Type of Mail (Millions of Items)

Source: CTT

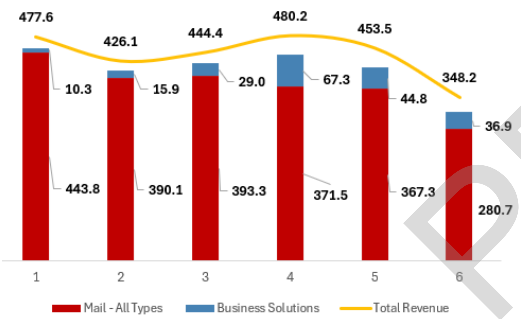


Figure 6: Mail's Historical Revenues (€ Millions)

Source: CTT

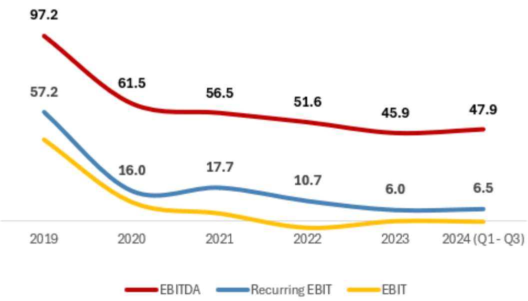


Figure 7: Mail's Historical EBITDA, Recurring EBIT and EBIT (€ Millions)

Source: CTT

customer needs, while simplifying physical communication, and financial services for individuals.[3]

1.1. Mail Business Description & Strategy

CTT's Mail Business Unit plays a crucial role in ensuring postal accessibly across Portugal, operating under the EU's Universal Service obligation. In 2023, CTT maintained an extensive network of 2,375 access points and 4,089 mail carrier routes, serving a diverse customer base with an average of 55,436 daily visitors. Despite having a clear market dominance in the sector, CTT has faced a gradual loss of market share, from 83.3% in 2018 to 76.6%[4] in 2023.

This business unit provides both addressed and unaddressed mail services, categorized into transactional mail (letter mail), editorial mail, and advertising mail. Transactional mail, the primary revenue driver, includes ordinary mail (focused on cost-efficiency), registered mail (prioritizing security), priority mail (emphasizing speed), and green mail (offering convenience). Advertising mail is further divided into addressed and unaddressed advertising, each contributing to this segment's revenue.

From 2019 to 2023, revenues for the Mail Business Unit fell from € 420.8M to € 354.3M[5], driven largely by a fall in Transactional and Advertising Mail. Digitalization has been a major disruptor, shrinking letter volumes from 1140.4M in 2019 to 680.2M in 2023. Despite these challenges, the Business Solutions segment has seen growth, from € 10.3M in 2019 to € 44.8M in 2023, focusing on Business Process Outsourcing (BPO), digital payment services, contact centres, and document management. A strategic highlight in 2023 was the acquisition of Payshop, which strengthened CTT's digital payment offerings, including the SIGA solution (a school wallet) with 500,000 users and adoption by around 100 municipalities.

However, profitability has faced significant difficulties. EBIT declined sharply from € 42.9M in 2019 to €0.0M in 2023, while Recurring EBIT fell from € 57.2M to € 6.0M during the same period. Rising operating costs, especially in Staff and ES&S, have compounded the challenges posed by ongoing digitalization and the decline in letter volume. These financial pressures highlight the need for CTT to adapt its business model to the evolving postal and communications landscape, while also navigating the challenges posed by regulatory obligations to maintain universal service

[3] (CTT, Purpose, Mission, Vision & Values 2024)
[4] (ANACOM, "Relatório Anual Serviços Postais 2019-2023)
[5] (CTT, "Integrated Report 2019 - 2023)

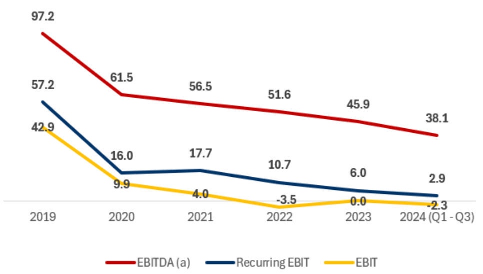


Figure 8: E&P's Historical EBITDA and Recurring EBIT (€ Millions)

Source: CTT

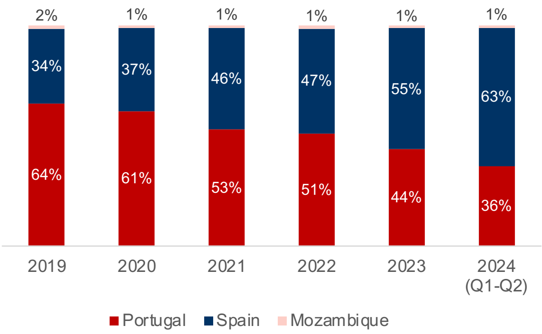


Figure 9: E&P's Historical Country Weight in Revenues

Source: CTT

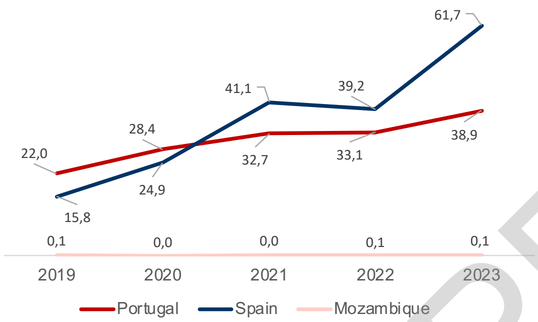


Figure 10: E&P's Historical Volume Handled (Millions of units)

Source: CTT

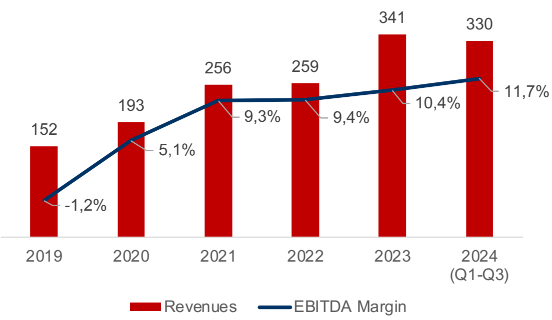


Figure 11: E&P's Historical Revenue and EBITDA Margin Evolution (€ Millions)

Source: CTT

The 2025 renegotiation of the Concession Contract for the Universal Postal Service presents a strategic opportunity for CTT to refine its operational and financial framework within its regulatory obligations. This mid-term review, involving ANACOM and the Directorate-General for the Consumer, allows adjustments to service parameters, pricing, and performance metrics to align with evolving user needs and economic conditions. The pricing framework, governed by the Convenção de Preços (2023–2025)[6], emphasizes cost-orientation, accessibility, and transparency. CTT can leverage this renegotiation to secure compensation for universal service costs, align prices with rising expenses and inflation.

CTT aims to stabilize Mail revenues through strategic price adjustments and optimizing its product mix. The company is committed to balancing economic sustainability with its social responsibility while navigating the challenges of regulatory obligations, rising costs, and evolving customer needs. Despite significant financial pressures, CTT's Mail Business hopes to remain profitable and a market leader in Portugal.

1.2. E&P Business Description & Strategy

CTT's Express and Parcels (E&P) business unit operates across the Iberian Peninsula and Mozambique, focusing on courier solutions and expedited parcel delivery. CTT's expansion of operations in Spain have increasingly augmented this market's weight in E&P revenues. In 2019, Spain accounted only for 34% of this unit's revenues. In Q1-Q2 2024, this value had jumped to 63%. Following the strategic move to create a unified Iberian offer, starting in Q3 2024 CTT no longer reports Portugal and Spain's revenue individually, but rather a new "Iberian" revenue. In 2019, with total revenues of €152,.4M, E&P's EBITDA stood at a negative value, €-1.8M, translating into an EBITDA margin of -1.2%. In the past 5 years, CTT strategic outlook for the E&P business unit not only allowed it to increase revenues, but also significantly increase profitability. By 2023, the unit's revenues had soared to €340.6M, representing a CAGR of 17.44% between 2019 and 2023. While this happened, operating costs fell from 101% of revenues in 2019 to 90% in 2023, achieving an EBITDA equal to €35.6M in this year. This translates into an EBITDA margin of 10.4%, a noticeable improvement from just a few years earlier. In the first three quarters of 2024, E&P's revenues rose to €330.5 million, marking a 44% year-on-year growth compared to the same period in 2023. This growth was primarily driven by increased traffic within the Iberian market: in the first three quarters of 2024, E&P number of items hit an all-time

[6] (ANACOM 2022)

high of 98.2 million units, a large increase compared to the 67,3 million units handled in the corresponding period in 2023. Mozambique traffic volume and revenue remains the least significant in the business unit, with only 0.041 million units and €4.2 million revenues for the same period.

The recent growth in number of items and revenues in the E&P business unit is the reflection of an effective strategic approach taken by the group, as well as a strong leveraging of some key market trends, allowing CTT to expand its market share. In 2020, as part of a new strategy to position CTT as a leading Iberian provider, the group rebranded its Spanish operation, "Tourline Express", integrating it in "CTT Expresso", effectively unifying operations in Spain and Portugal. This strategic positioning allows CTT to capture a larger client base by bringing on clients that conduct business in the whole Iberian Peninsula and who benefit from a unified service offering.

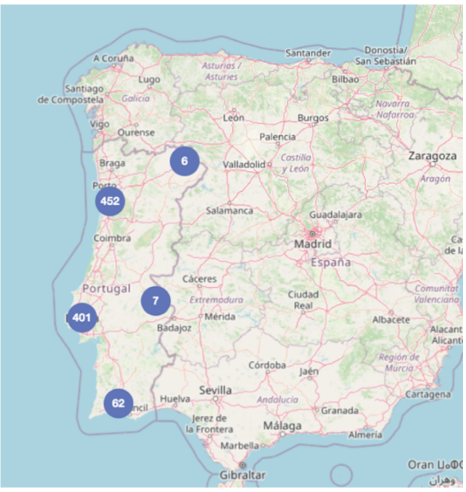


Figure 12: Locky's Current Network

Source: CTT

Growth in the E&P segment is also dictated by the strong market trend of rising adoption of e-commerce, which CTT has been capitalizing upon through strategic investments in network expansion, service portfolio enhancement, and delivery quality advancements. As part of the network expansion strategy, CTT has been focusing on expanding its "Locky" brand, which offers smart lockers for parcel pick-up and drop-off (PUDO). By centralizing deliveries, these smart lockers allow CTT to decrease the distance travelled by each vehicle, which not only decreases operational costs, but also decreases emissions[7]. By the end of Q2/24, the Locky network had 907 installed lockers in Portugal and 8 in Spain, with many more already contracted, in pursuit of CTT's vision to expand this network. Overall, by the end of Q3/24, CTT's network consisted of 24,900 total pick-up and drop-off points (21,200 in Spain and 3,700 in Portugal), ensuring a vast coverage of the whole region, further solidifying its market presence. This strategic incorporation of smart lockers, alongside the positioning as a fully unified Iberian provider are expected to continue dictating the E&P's strategic outlook in the next years.

1.3. Financial Services Business Description & Strategy

The Financial Services (FS) Business Unit plays a crucial role in distributing public debt securities, holding a dominant position in this market segment. In 2022 and 2023, the demand for public debt placements surged due to favorable market conditions and increased interest in savings products. However, 2024 experienced a notable decline in activity, primarily due to stricter subscription limits and less competitive interest rates. Despite this,

[7] (CTT – Correios de Portugal S.A 2024)

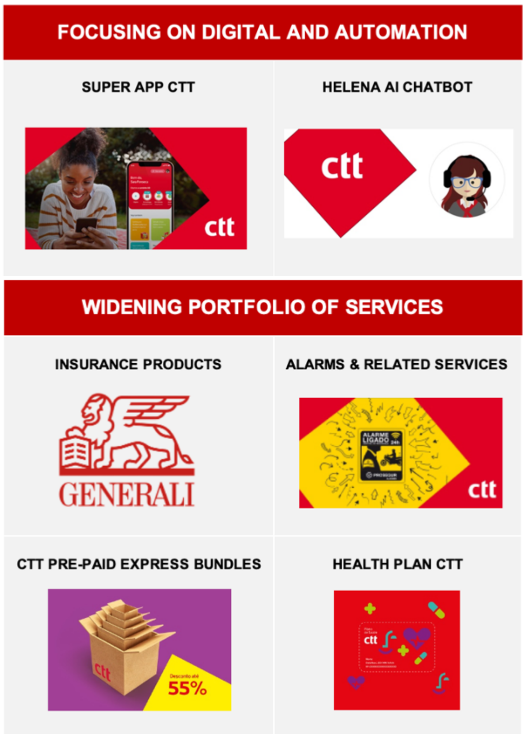


Figure 13: CTT's Strategic Initiatives: Digital Transformation and Service Diversification

Source: CTT

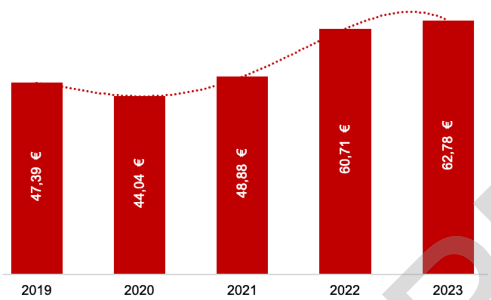


Figure 14: FS's Historical Revenue Evolution (€ Millions)

Source: CTT

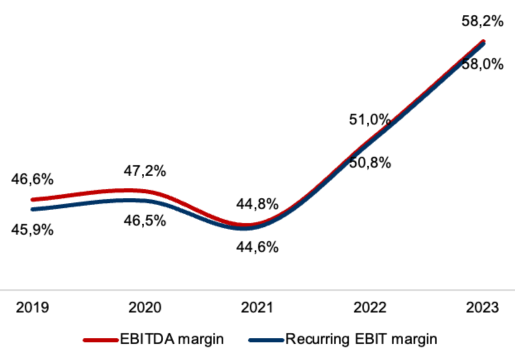


Figure 15: FS's Historical EBITDA & Recurring EBIT Margin Evolution

Source: CTT

recent changes in government policy, such as doubling the subscription cap per saver and raising overall limits, are expected to revitalize demand, with a strong recovery anticipated in 2025.[8] [9] In line with these developments, recent trends suggest a normalization of placement levels, signaling a stabilization of the market in the future.

CTT has adapted to these shifts by launching initiatives like the CTT online platform, which simplifies the process of subscribing to public debt securities. This platform, along with targeted marketing efforts, has made it easier for customers to access savings products and has enhanced their appeal compared to traditional bank deposits.

Beyond public debt, CTT has expanded its offerings to include a range of insurance products in collaboration with Generali. This includes non-life insurance options such as auto, health, personal accidents and multi-risk coverage. This diversification is part of CTT's broader strategy to transform its retail network into a comprehensive services hub, integrating solutions like money transfers, express bundles, and alarm systems.

Historically, FS has demonstrated consistent revenue growth, increasing from € 47.39M in 2019 to € 62.78M in 2023, reflecting its dominant position in the distribution of public debt securities. As previously mentioned, the surge in 2022 and 2023 was driven by favorable market conditions and increased demand for savings products, resulting in a substantial boost in profitability. Despite fluctuations in demand, EBITDA margin improved significantly from 45.6% in 2019 to a peak of 58.2% in 2023, while the Recurring EBIT margin followed a similar trend, rising from 45.9% to 58.0% during the same period. These improvements highlight the unit's ability to enhance profitability strategic initiatives, reinforcing its role as a critical contributor to CTT's financial performance.

To conclude, FS has demonstrated strong dedication to innovation and fostering partnerships, adopting a customer-focused approach to digital transformation. This includes the development of digital tools that streamline access to financial services, reinforcing the unit's position as a reliable and convenient alternative to traditional savings products. Looking ahead, CTT aims to further broaden its portfolio, improve digital accessibility, and enhance its marketing efforts. By effectively integrating services into its retail network and staying responsive to evolving customer needs, the FS Business Unit continues to be a key driver of CTT's profitability and long-term growth.

[8] (Jornal de Negócios 2024)
[9] (IGCP - Agência de Gestão da Tesouraria e da Dívida Pública 2024)

1.4. Banking Business Description & Strategy

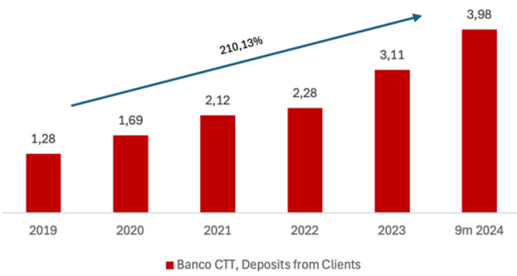


Figure 16: CTT Deposits from Clients Evolution

Source: CTT

Banco CTT, launched in 2016, was built on a strong and differentiated value proposition, leveraging CTT's extensive brand recognition and retail network. CTT's survey concluded that the brand is characterized by its almost universal awareness, with 85% of the population recognizing the brand "very well". The retail network is a key to its operations, comprising 569 branches nationwide, 212 of which also serve Banco CTT customers. CTT ensures presence in all 308 municipalities, with over 65K unique client visits daily. Additionally, CTT's dominant position in the public debt placement market, emphasizing its trusted role in financial services. Currently, Banco CTT operates as a retail financial institution, offering a wide range of banking services, including personal, auto and mortgages loans, as well as a variety of deposit accounts.

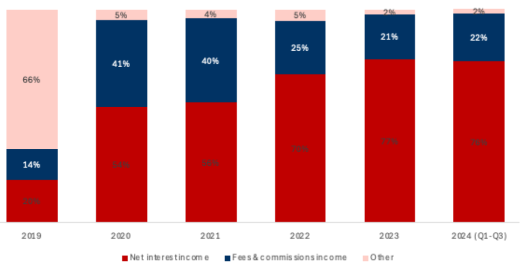


Figure 17: CTT Bank Revenue Breakdown

Source: CTT

Banco CTT is one of the fastest-growing banking franchises in Portugal. Since 2019, the number of accounts has increased by 40.24%, while the bank's deposits from clients have surged by 210.13%. In comparison, Portuguese deposits from clients overall only grew by 19.81% during the same period. As a result, Banco CTT's deposits market share experienced a significant increase of 101.98%. By Q3 2024, the bank reported a sizable and high-potential retail client base with approximately 676K current accounts. Leveraging CTT's strong tradition in savings placement, its deposits reached €3.98B, while its retail credit book expanded to €760M. In Portugal, Banco CTT's deposits from clients currently represent a market share of 1.73%.

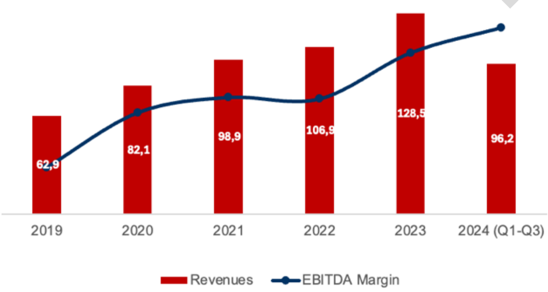


Figure 18: Revenue and EBITDA Margin Evolution

Source: CTT

Banco CTT has achieved a consistent revenue expansion, increasing from €62.9M to €128.5M. Net interest income, which is the largest proportion of total revenue, increased from €12.7M to €98.7M, reflecting the banks string ability to scale up its lending portfolio. In 2023, Banco CTT experienced significant increases in interest income, influenced by the European Central Bank adjustments to interest rates coupled with an increase in the banks auto loan segment, enhanced by its acquisition of 321 Crédito, generating €53.1M, with an increase of 17.7%. Mortgage-related interest income, also improved by 314.8%, reaching €23.2M, a result of an increase demand for housing loans. On the other hand, interest paid represents the bank's payments on deposits, which have also experienced a growth driven by the previously mention boom in deposits and increase in the cost of deposits.

Another essential component of Banco CTT's revenue stems from Fees and Commissions, incorporating various banking services such as card transactions and other transaction-based services. In 2020 this segment accounted for 40% of total revenues, due to the extreme commission income per account of around 70€. In 2022, however, this value decreased to 26% of

Account Maintenance (2024)	
Banco CTT	**€20,80**
CGD	€61,80
BCP	€64,90
BPI	€67,60
Novo Bancco	€64,80

Figure 19: Commissions in 2024

Source: Banco de Portugal

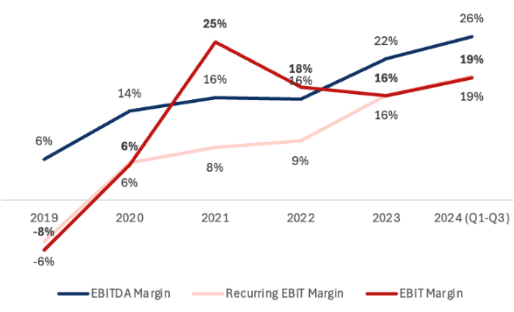


Figure 20: Banking - Margins Evolution

Source: CTT

total revenues, achieving an income per account of €47. According to Deco Proteste, in 2022, the banking industry faced a fee increase of 163%, with the five largest banks- CGD, Santander, Millenium BCP, BPI and Novo Banco- raising their commission rates by 47%, accounting for 40% of these banks total revenues. These difference between CTT and the largest banks in Portugal demonstrate some anticipation from CTT to stabilize this price.

In 2024, new regulations were implied to address consumer concerns about excessive charges and to align with European standards. Banks are no longer allowed to charge processing fees for credit contracts signed before 2021, aligning them with newer contracts, resulting in annual savings of around €40 to customers. Furthermore, to improve bank transparency and customer protection, financial institutions are required to clearly clarify conditions for discounts tied to financial products.

The bank also achieved a significant turnaround in profitability. EBITDA increased from €4M in 2019 to €28.4M in 2023, with an EBITDA margin improving from 6.4% to 22.1%. A noticeable improvement in EBIT was also exhibited, transitioned from a loss of -4.9 to a robust €21M in 2023.

Banco CTT's strategic focus for the upcoming years is centered around leveraging its strong brand, nationwide retail network, and evolving partnerships to achieve sustainable growth and increased profitability.

The bank seeks to maximize the value generated from its existing customer base by expanding product penetration and boosting engagement. Banco CTT will focus on further developing its savings business. A key element of this strategy is the partnership with Generali, one of Europe's largest insurance companies. Besides diversifying their financial products, the bank aims to capitalize on the current economic environment, by offering competitive savings products. Additionally, Banco CTT plans to grow selectively in its credit business, with a strong emphasis on maintaining a balanced risk profile. The bank will focus on expanding its core credit products, particularly mortgages and consumer loans, targeting customers within its existing base. Banco CTT is committed to transforming its digital channels to provide a seamless, end-to-end banking experience. With over 50% of its customers already actively engaged with digital services, Banco CTT will continue to promote higher levels of digital adoption. Additionally, they also recognize the importance of its physical branch network. To optimize it, the bank will invest in the specialization of its staff and in the redesign of its branches. By leveraging its established CTT network, the bank aims to maintain a low-cost structure while ensuring that its branches provide high-quality, specialized services.

1.5. SWOT Analysis

1.5.1. Mail and E&P SWOT

Strengths

- **Unified Iberian Offer**, Seamless logistics across Portugal and Spain supports strong positioning in the Iberian e-commerce market
- **Strong Brand Recognition,** trusted reputation in Portugal reinforces loyalty in both Mail and E&P segments
- **Extensive CTT Store Network**, broad geographical presence ensures customer accessibility and operational support
- **Market Leadership**, dominance in Portugal's mail sector provides competitive advantages

Weaknesses

- **High Dependency on Labor Force**, significant reliance on workforce increases exposure to cost pressures
- **Low Mail Profitability**, declining volumes and fixed operational costs reduce financial returns
- **Overreliance on Traditional Postal Services,** CTT revenue is heavily dependent on mail, which are a declining source of net income
- **High fixed costs,** obligation to maintain routes and stores, to comply with the concession contract in Mail

Opportunities

- **Expansion in Spain**, growing e-commerce penetration in Spain creates opportunities for market share growth
- **Business Solution**, investments in digital solutions can diversify offerings and attract corporate clients
- **Real Estate**, monetize the real estate already owned by CTT

Threats

- **Delivery Quality and Expansion Challenges**, maintaining service standards amidst geographical expansion and volume increases
- **EU Mail Regulation**, strict regulatory oversight may raise operational costs and limit flexibility,
- **Changes in Pricing Formula**
- **Digitalization**, growing preference for digital alternatives threatens traditional mail volumes
- **Dependence on Economic Cycles,** CTT's financial performance is sensitive to economic conditions, especially in a challenging macroeconomic environment

1.5.2. Banking and Financial Services SWOT

Strengths

- **Strong Brand Recognition:** Leveraging CTT's well-established reputation and extensive retail and distribution network, to position Banco CTT in the market
- **Dominant Market Share** in **Saving Certificates**, reinforcing its role in public debt placements
- **Strong physical presence** ensures customer support. The retail network is a key to its operations, comprising 569 branches nationwide, 212 of which also serve Banco CTT customers.
- **Extensive retail network** for distributing public debt certificates

Weaknesses

- **Limited Diversification in Loan Offerings:** Banco CTT has a limited product range compared to established competitors, with a significant reliance on auto loans, increasing concentration risk
- **Dependence on Public Debt Placements:** Financial Services' revenues depend largely on public debt placements, leaving them vulnerable to changes in government policy and market demand
- **Loss of customers following the end of the University Card Partnership:** This led to customer loss and fewer cross-selling opportunities, hindering Banco CTT's customer base growth
- **Small Bank** in a highly competitive market (market share of 1% in mortgages)

Opportunities

- **Policy changes raising investment limits for Saving Certificates** are expected to boost subscriptions, creating growth opportunities for Financial Services
- **Growing Savings Culture:** Economic uncertainty has driven greater demand for secure saving options, positioning CTT to benefit from the growing interest in Saving Certificates
- **Digital Transformation:** Digital investments in banking platforms and online tools aim to improve customer experience and broaden Banco CTT's retail banking reach
- **Expand the business to corporate loans** to diversify its lending offers and become less dependent of auto loans

Threats

- **Competitive market dominated by well-established players** with extensive customer bases
- **Increasing regulatory pressures** from evolving financial regulations and sustainability standards
- **Shifting consumer preferences** toward alternative investment options
- Declining values of carbon-emitting vehicles potentially impacting **outstanding auto credit loans**
- **Heavily regulated industry:** Strict regulations in banking and financial services constrain operational flexibility and elevate compliance costs

2. Industry Overview

2.1. Logistics

2.1.1. Mail

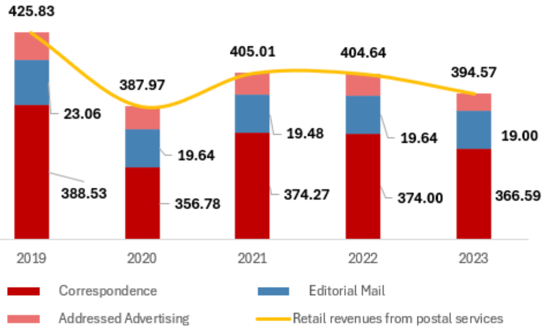


Figure 21: Historical Letter Mail Revenues in Portugal (€ Millions)

Source: ANACOM

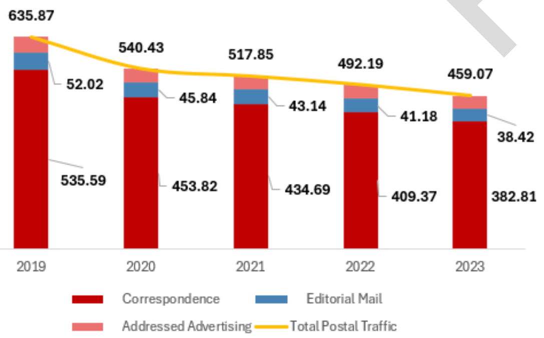


Figure 22: Historical Letter Mail Traffic in Portugal (Millions of Items)

Source: ANACOM

The mail industry in Portugal is under the Postal Service Directive[10], a European Union regulation that mandates minimum universal service requirements for postal services across EU member states. This ensures the provision of affordable, high-quality, and efficient postal services. In Portugal, the regulatory body for postal services is the Autoridade Nacional de Comunicações (ANACOM), which works alongside the European Regulators Group for Postal Services (ERGP). ANACOM sets the Quality Convention with CTT, which establishes service quality benchmarks, and the Price Convention, which ensures affordability for consumers.

The Portuguese mail industry is characterized by a well-established nationwide network, ensuring postal accessibility across urban, suburban, and rural areas. While urban centers drive higher demand due to dense populations and business activity, maintaining services in remote and sparsely populated areas poses challenges, including higher operational costs and lower delivery volumes.

From 2019 to 2023, the Portuguese mail sector saw declines in both revenues and postal traffic, with a CAGR of -1.89%[11] for total revenues. The traditional mail segment, the largest contributor, declined by -1.4% due to the rise of digital communication. Editorial mail dropped by -4.7%, as digital media replaced printed materials, while addressed advertising experienced the sharpest decline at -10.9%, reflecting the shift toward digital advertising. The overall retail revenues from postal services decreased from € 425.8M in 2018 to € 394.6M in 2023.

In terms of postal traffic, the sector declined at a CAGR of -7.82%. Correspondence fell by -8.1%, while editorial mail and addressed advertising saw declines of -8.1 % and -5.9%, respectively. Despite these declines, revenue per object grew by 6.44% CAGR, driven by price adjustments and higher-value services. According to ANACOM's study, *Needs of Consumers of Postal Services*, postal correspondence traffic continues to contract, driven by the rise of digital communication. In 2023, postal traffic decreased by 6.7%,

[10] (European Comission 1993)
[11] (ANACOM, "Relatório Anual Serviços Postais 2019-2023)

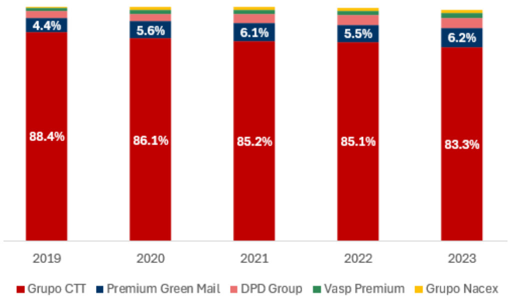


Figure 23: Mail's Market Share Evolution – Five Largest Players in Portugal

Source: ANACOM

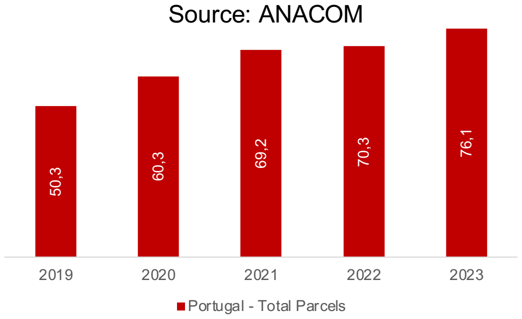


Figure 24: Total Parcels Delivered in Portugal (Millions of items)

Source: ANACOM

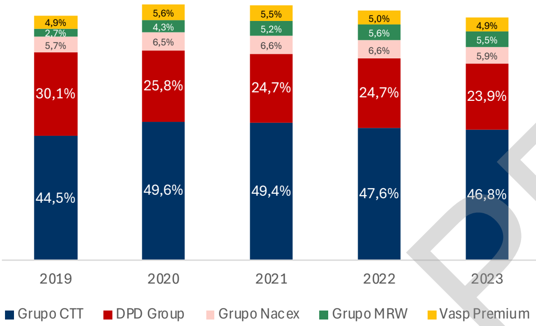


Figure 25: Market Share Evolution – Five Largest Players in Portugal's E&P Industry

Source: ANACOM

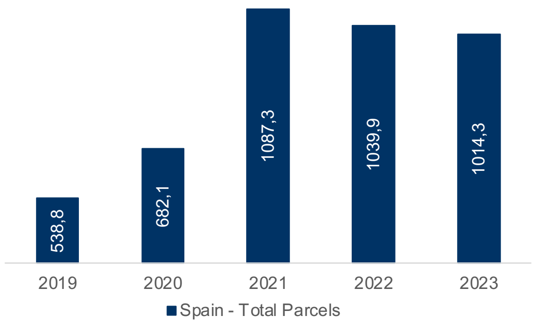


Figure 26: Total Parcels Delivered in Spain (Millions of items)

Source: CNMC

continuing a trend observed since 2008. This shift intensified during the COVID-19 pandemic but began to stabilize by 2023.

Historically, Portugal's mail industry has seen low competition, with CTT dominating 83.3% of total traffic in 2023[11]. However, the landscape is gradually becoming more competitive as smaller players, such as Premium Green Mail, DPD, and Vasp Premium, strengthen their positions and gain market share. While CTT remains the clear market leader, the growing presence of these competitors signals an evolving and more competitive mail industry.

2.1.2. Express & Parcels

The parcel delivery industry is growing at a fast pace, catapulted by the increase of the e-commerce and digitalization trends. As online shopping increasingly becomes a part of day-to-day life, courier companies must quickly adapt and find ways to meet the increased demand for parcel delivery.

In Portugal, in 2019, total volume of parcels delivered in Portugal amounted to 50.3 million units[12]. In 2020, the total number of parcels delivered jumped to 60 million units, reflecting a strong impact of Covid-19 in the industry. By 2023, this metric had increased to 76.12 million units, implying a CAGR of 10.9% between 2019 and 2023. With the development of e-commerce, the industry is forecasted to experience continued growth.

When it comes to competition, the parcel delivery industry in Portugal is dominated by a few large courier companies. In the analyzed period, from 2019 to 2023, the five largest players in the market had more than 80% market share, when measured by total parcel delivered each year. Throughout this period, CTT has managed to leverage its product offering and strong brand image to maintain its position of market leader every year. CTT has managed to increase market share from 44.5% in 2019 to 46.8% in 2023. However, it reached its peak during Covid, hitting a market share of 49.6% in 2020. Since then, CTT has slowly lost market share. In 2023, the next largest players in the market were, by descending order of market share: DPD Group (23.9%), Nacex Group (5.9%), MRW Group (5.5%), and Vasp Premium (4.9%). CTT's E&P business unit is also heavily present in the Spanish market. The Spanish postal market is under the Comisón Nacional de los Mercados Y la Competencia, which releases the annual information for the postal sector. In 2019, total package delivery in Spain stood at 538.8 million units[13]. In 2023, this value had increased to 1,014.3 million units, representing a 13.5% CAGR.

[12] (Anacom "Relatório Serviços Postais" 2020 – 2023)

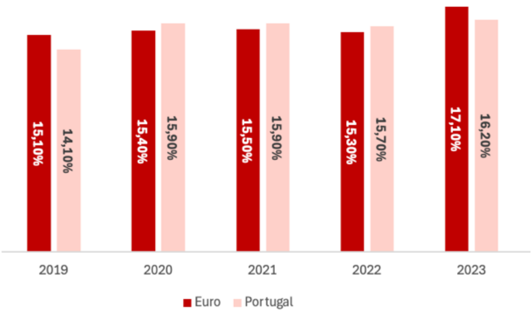


Figure 27: Common Tier 1 Ratio

Source: Banco de Portugal

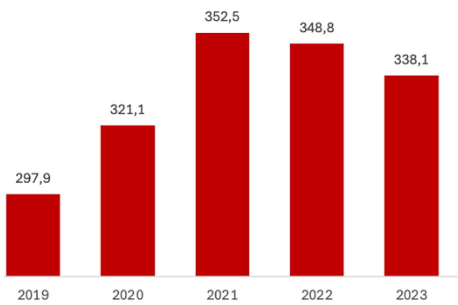


Figure 28: Historical number of deposits

Source: Banco de Portugal

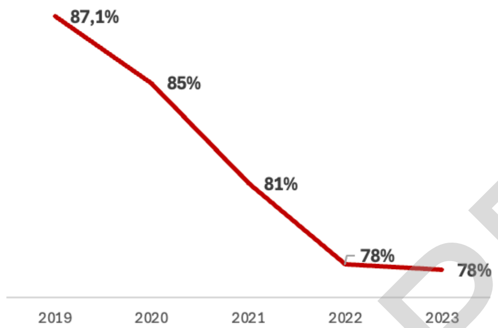


Figure 29: Loan-to-deposit ratio evolution

Source: Banco de Portugal

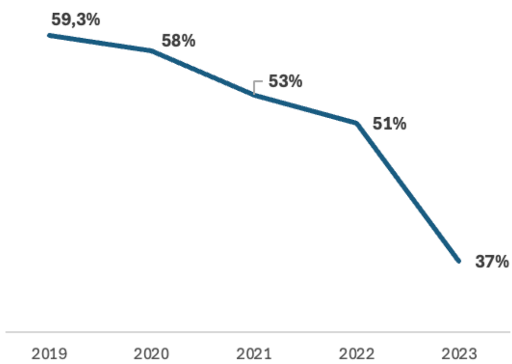


Figure 30: Cost-to-Income Evolution

Source: Banco de Portugal

The high growth in parcel delivery displayed in the Iberian region aligns with CTT's strategic choice to focus on this unit's development.

2.2. Bank & Financial Services

2.2.1. Banking

From 2019 to 2023, the sector experienced a general improvement in total assets, reflecting an overall industry growth and recovery. Mergers and acquisitions, coupled with the exit of weaker institutions have strengthened this sector, explaining the decrease in number of credit institutions between 2008 and 2024, particularly after 2010. The global financial crisis highlighted the limitation of risk weighted bank capital ratios (regulatory capital divided by risk weighted assets). To answer this problem, Basel III was implemented, introducing a minimum leverage ratio, defined as Bank's Tier 1, over an exposure measure independent of risk assessment. This framework requires that leverage ratio and some complex risk-based requirements work alongside, ensuring that banks have sufficient internal resources to withstand adverse economic shocks. According to the regulatory framework outlined by Banco de Portugal and aligned with Basel III agreements, requirements for own funds and eligible liabilities (MREL) is expected to be 13.5% of total risk-weighted exposure amount, and 5% of the total exposure measure.

Focusing on 2024 sector's balance sheet, overall bank assets, in the end of 2023, remained relatively stable (-0.6%), increase exposure to debt securities of 8.8% partially offset reductions in liquidity and loans to credit institutions of 7.2% and 8% respectively. Regarding bank liabilities, although customer deposits have been experiencing an increase in previous years, in 2023, experienced a decrease of 3%, resulting to €338B of deposits, indicating a possible shift toward other saving option, impacted by the rising interest rates.

Nevertheless, over the last few years, the banking sector has presented the ability to resist macroeconomic disruptions, and consequent increases in inflation and rises in interest rates. Against what happened with the European banking system, the Portuguese banking sector has demonstrated remarkable resilience, highlighting its role within the national and regional economy. The sector demonstrated strong financial health in 2023 with Cost-to-income reaching a value of 37%, decreasing by 14%. compared to last year, reflecting an improvement in operating income. The loan-to-deposit ratio in 2023 was 78%, experiencing also a decline compared to the previous years, as a result of a reduction in customer loans and deposits. The weight of central bank funding continued its reduction path, standing at 1.1% of the assets.

Portuguese banks are supervised by two authorities: the Banco de Portugal

(BdP) and the Portuguese Securities Market Commission (CMVM). Core banking activities, such as deposit-taking and lending, fall under the BdP's supervision, as part of the European System of Central Banks led by the European Central Bank. This system, through mechanisms like the Single Supervisory Mechanism, ensures the safety and resilience of the banking system, promotes financial integration, and safeguards economic stability by standardizing supervisory standards. Meanwhile, financial intermediation and securities-related transactions are overseen by the CMVM, which is part of the European Securities and Markets Authority, ensuring transparent and fair market practices. Both authorities work towards fostering trust in the financial system by promoting market stability, fair competition, and the efficient allocation of savings to productive investments.

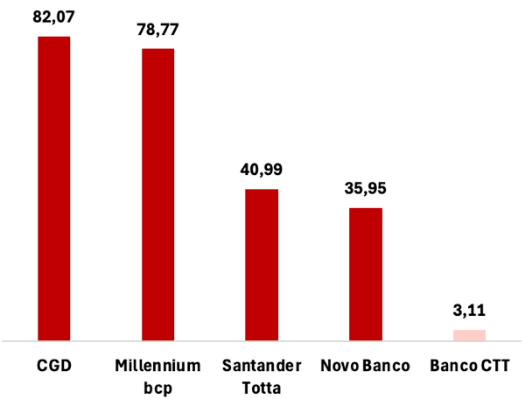


Figure 31: Bank Market Share in 2023

Source: Banco de Portugal

The banking industry is a highly competitive market. In Portugal, there are 137 credit institutions as of 2024. Among them, Caixa Geral de Depósitos (CGD) holds the largest business volume in the Portuguese banking system, leading in customer resources and credit. CGD had the highest deposits market share in 2023, steadily increasing to 24.27%, equivalent to € 82.09Bn. Following CGD are Millennium BCP, Santander Totta, and Novo Banco, with deposits market shares of 23.30%, 12.12%, and 10.63%, respectively, in 2023. In contrast, Banco CTT, despite holding a modest market share of 0.92%, experienced a significant growth of 113.19% between 2019 and 2023.

The banking industry is undergoing a transformative phase driven by economic uncertainties, rapid technological advancements, and the increasing need for sustainability. The interaction between technological transformation and customer-centricity is a defining feature of the banking sector's evolution. Advanced technologies not only improve operational efficiency but also allows banks to gather and analyze customer data more effectively. This capability ensures personalized services, enabling banks to meet the growing demand for tailored financial solutions. In return, these digital tools strengthen customer trust and loyalty, positioning banks to better navigate a competitive and increasingly digitalized landscape.

Sustainability initiatives further amplify these dynamics. ESG goals not only guide lending practices but also drive the creation of green finance products, which aligns with the growing segment of environmentally conscious consumers. Furthermore, addressing climate risks and align with sustainability goals, is a key strategy for banks fostering long-term economic stability.

2.2.2. Financial Services

The Portuguese financial services sector encompasses a diverse range of offerings, including public debt placements, insurance products, money orders, payments, retail products and services, among others. Since public debt placements are the primary revenue driver for this sector, our in-depth industry analysis will center on this area.

In Portugal, the placement of public debt is regulated by the *Agência de Gestão da Tesouraria e da Dívida Pública - IGCP, E.P.E.* IGCP is responsible for issuing and distributing government debt instruments, including Saving Certificates and Treasury Bonds. It ensures compliance with legal and policy guidelines, maintaining a transparent and efficient system for managing public debt. It is also tasked with managing the financing of autonomous administrative and financial services and funds, as outlined in Decree-Law no. 200/2012 of August 27.[13]

Figure 32: Entities working with IGCP to distribute Public Debt Placements

Source: IGCP

IGCP works with a limited number of authorized entities to distribute public debt instruments. Saving Certificates, specifically the *F Series* are available through various channels, including IGCP, E.P.E., CTT - Correios de Portugal, Citizen Spaces, Banco de Investimento Global (BiG) via digital platforms or app, and online through AforroNet service for registered users.

CTT has traditionally dominated the distribution of Saving Certificates. However, the entry of competitors like BiG reflects IGCP's strategy to diversify its investor base and improve access to government debt instruments. Moreover, by expanding the market and leveraging digital platforms like AforroNet, IGCP promotes greater inclusivity and convenience for investors.

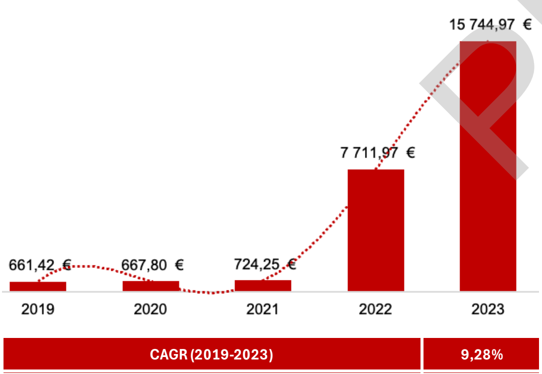


Figure 33: Government Debt Issues in Saving Certificates (2019-2023)

Source: IGCP

Delving deeper into the government debt issues in Saving Certificates from 2019 to 2023, it experienced a CAGR of 9.28%.[14] This growth underscores the significance of Saving Certificates as a vital savings tool for Portuguese households, offering a secure and tax-efficient investment option. Notably, public debt placements in 2022 and 2023 reached exceptionally high levels, fueled by favorable interest rates and increased demand for safe investment options amid economic uncertainty. Beyond these exceptional years, the sector has exhibited steady, moderate growth. With the continued rise in digital adoption and supportive policy frameworks, public debt placements are expected to stabilize, maintaining their role as a cornerstone of Portugal's financial services landscape. This trajectory reflects a harmonious blend of traditional investment avenues and modern technological advancements, aligning with the evolving preferences of Portuguese savers.

[13] (IGCP - Agência de Gestão da Tesouraria e da Dívida Pública 2024)
[14] (IGCP - Agência de Gestão da Tesouraria e da Dívida Pública 2024)